

Cash flow and tax planning for equity compensation



Shane Paul Mason,

CPA/PFS, CFP®, CPWA®

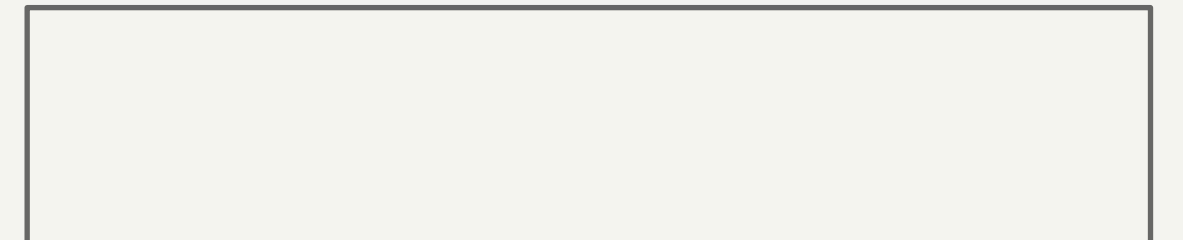
Co-Founder, **BKFi**

Shane Mason is the Co-Founder of BKFi, a financial planning firm specializing in tax strategies, equity compensation, and wealth management for high-income tech professionals, founders and entrepreneurs. A CPA and CFP with over 15 years of experience from Big 4 to boutique firms, Shane is known for simplifying complex financial topics and helping clients achieve financial independence.



Learning objectives

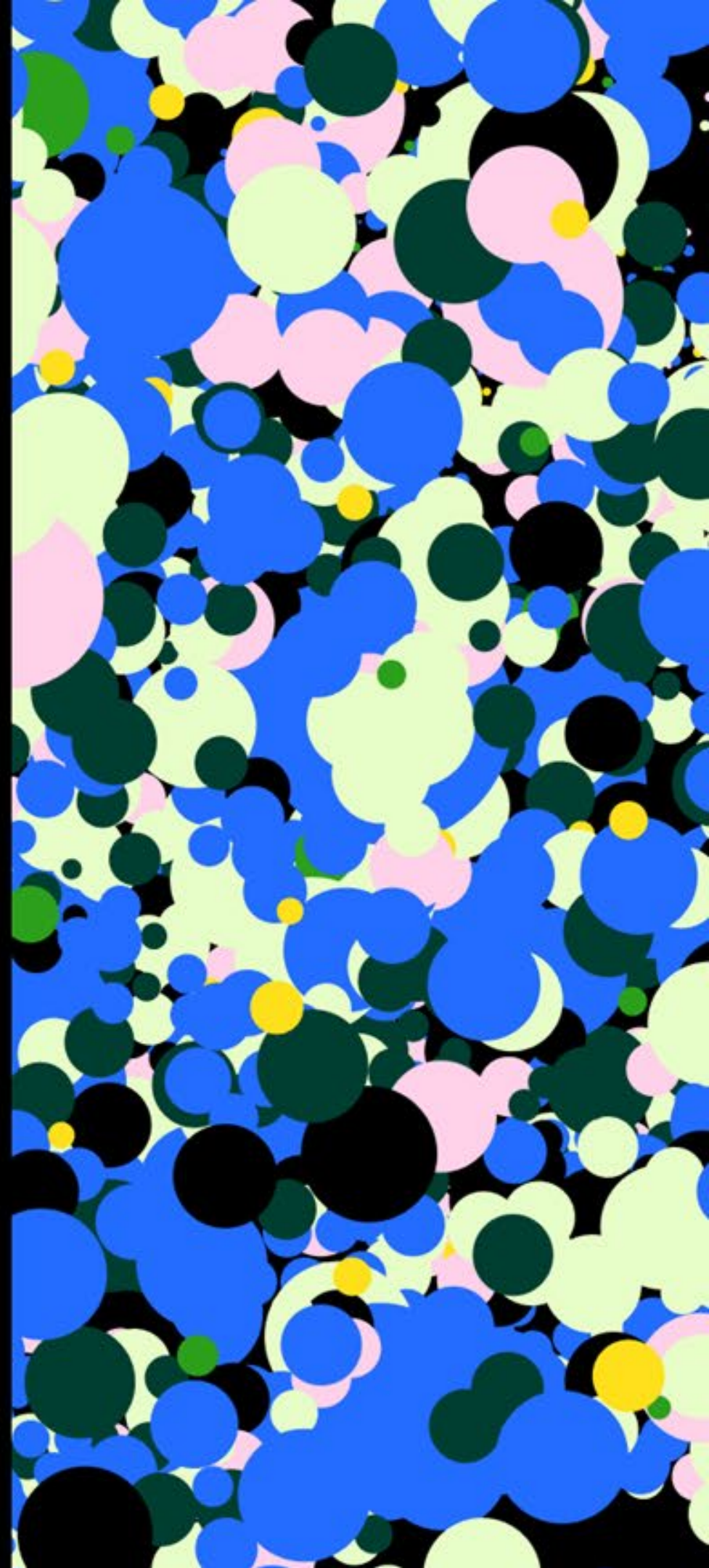
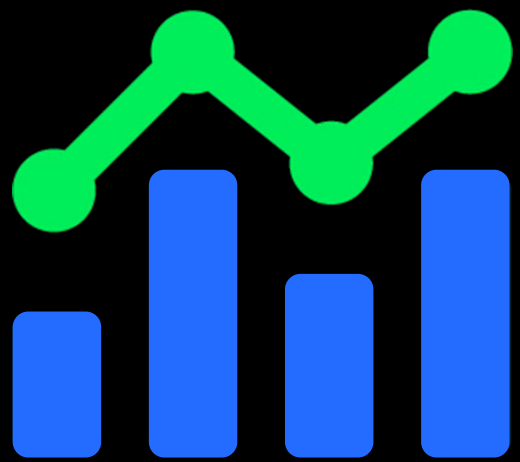
- After this session, participants will understand when many common forms of equity compensation are issued.
- After this session, participants will understand planning considerations for many common forms of equity compensation based on company stage.
- After this session, participants will understand how tax considerations impact strategies for equity compensation planning.



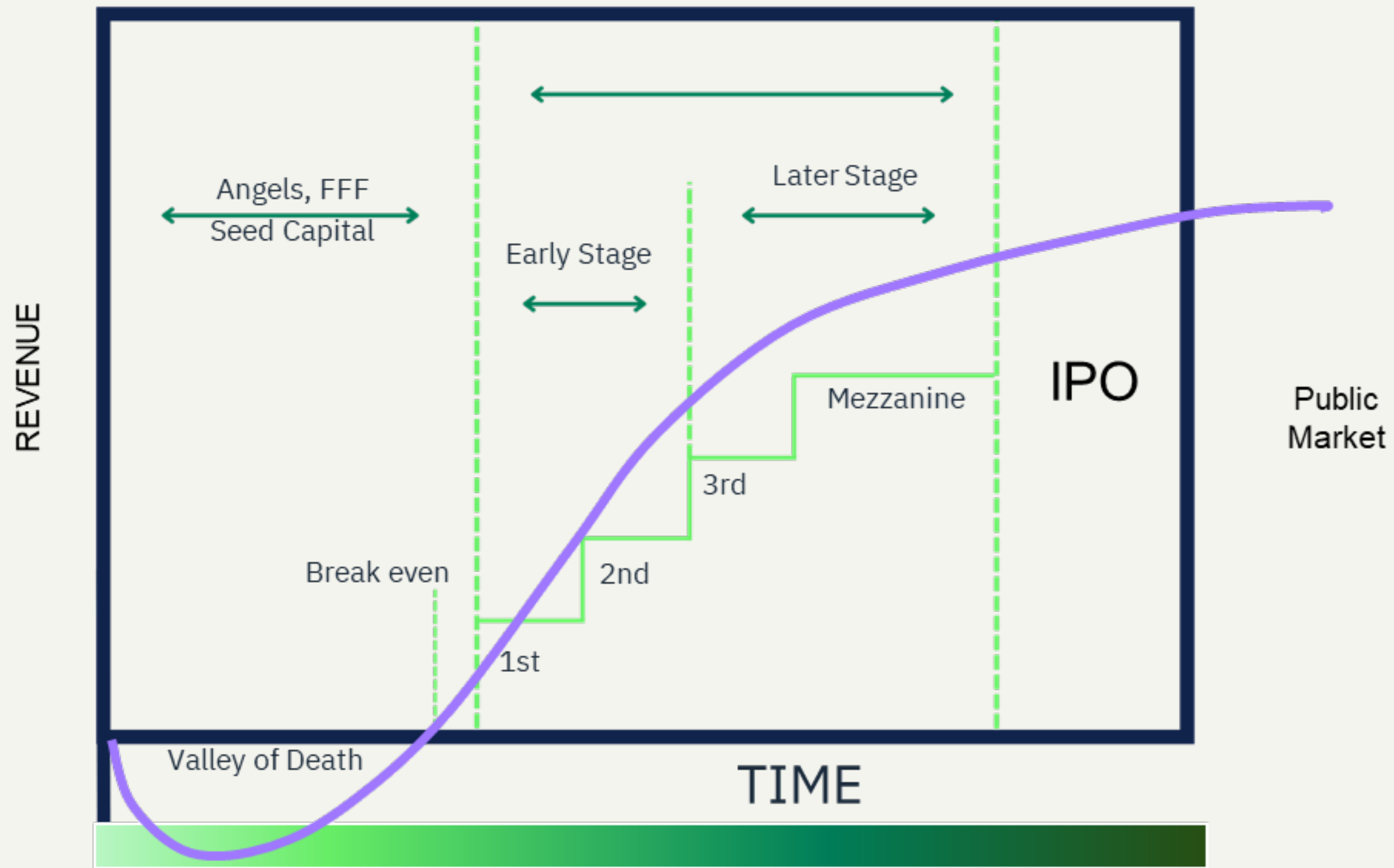
The Comp in Equity Comp means “COMPLICATED”

- Okay, I made that part up - it means compensation
- But this stuff is very complex
- There is a whole lifecycle of planning to do just with this topic - in addition to all the traditional planning clients require
- Knowing the strategies, the biases, the tax impact, and the clients goals are key to building a sustainable plan
- This presentation focuses on “101” level - **RSUs and NQSOs**. We sprinkle in some QSBS and 83b planning, but ISO strategies are the most complicated and level “102” and are not covered herein

Common Types of Equity at Various Stages



Company equity financial cycle



Type of Equity Granted: Founder's Stock ISO NQO RSU

Common types of equity

Restricted stock

Incentive stock options

Non-qualified stock options

RSUs (often double trigger)

Restricted stock

- Full shares of stock granted usually subject to vesting
- Taxed when vested at current Fair Market Value (409A) unless filing 83(b) election
- Entitled to dividends and voting rights
- Holding period starts at vest (or at time of 83(b), if elected)
- Most commonly seen at early-stages, issued at par value
- Potential to be a tax bomb if you DON'T elect 83(b) and price increases (tax hit every time shares vest)
- Different from RSUs (they come later on)

ISOs

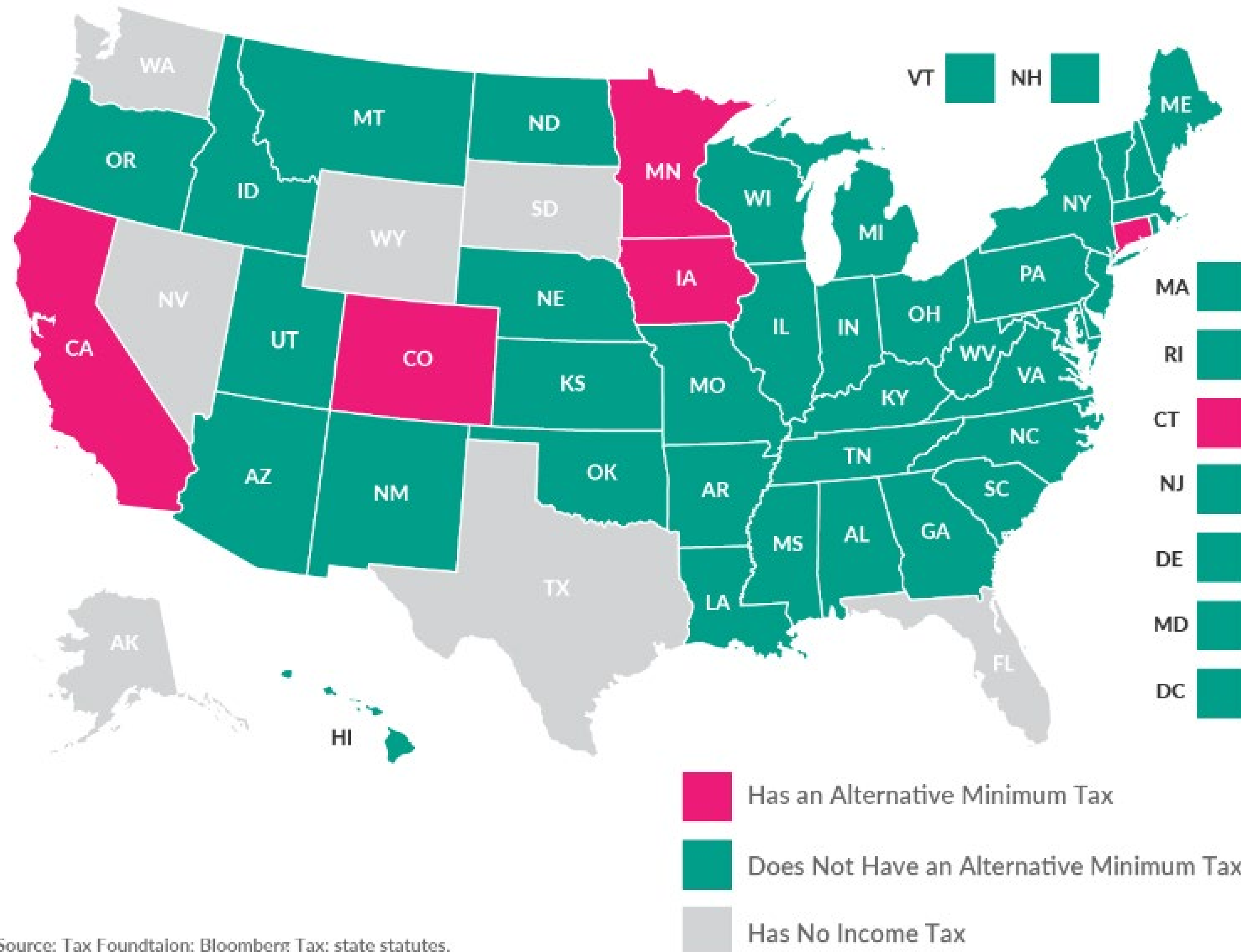
- Incentive stock options
- The **incentive** is keep you employed and hold the stock for a long time
- The OPTION to purchase shares of company stock
- The grant determines number of options awarded
- You must meet strict holding period requirements:
 - Hold for two years from grant AND
 - Then hold one year from *exercise*

ISOs

- The strike price determines the price you pay
- You control the timing of exercise but NOT vest
- Often awarded to early employees to make the accounting easy for your company
- Tax treatment is unique - there is no tax due immediately upon vest or exercise
- Subject to AMT
- ISOs are taxed in an alternative universe: while no regular income tax is due, exercising an ISO generates AMT income for the Alternative Minimum Tax calculation based on the difference between strike price and FMV
- Must track AMT basis of shares exercised for future reconciliation
- Any AMT paid relevant to ISOs is carried forward as a credit on form 8801

Does Your State Have an Individual Alternative Minimum Tax (AMT)?

Individual Alternative Minimum Taxes (AMTs) by State, as of July 1, 2021



Source: Tax Foundation; Bloomberg Tax; state statutes.

NQOs

- Non Qualified Options aka NQSOs or NSOs (Non Statutory Options)
- The OPTION to purchase shares of company stock awarded in exchange for service
- Tax treatment is very similar to RSUs, the only difference is YOU decide when
- Strike price determined at grant - typically the current 409a / FMV
- You control the timing of exercise but NOT vest
- Often awarded before an IPO and much rarer afterwards
- Like RSUs, the taxes are due when you receive/exercise the shares
 - Tax is due immediately upon exercise based on the delta between strike and FMV
 - Subject to FICA/Social Security/Medicare/Payroll taxes
 - Shares or dollars can be withheld to cover tax withholding

RSUs

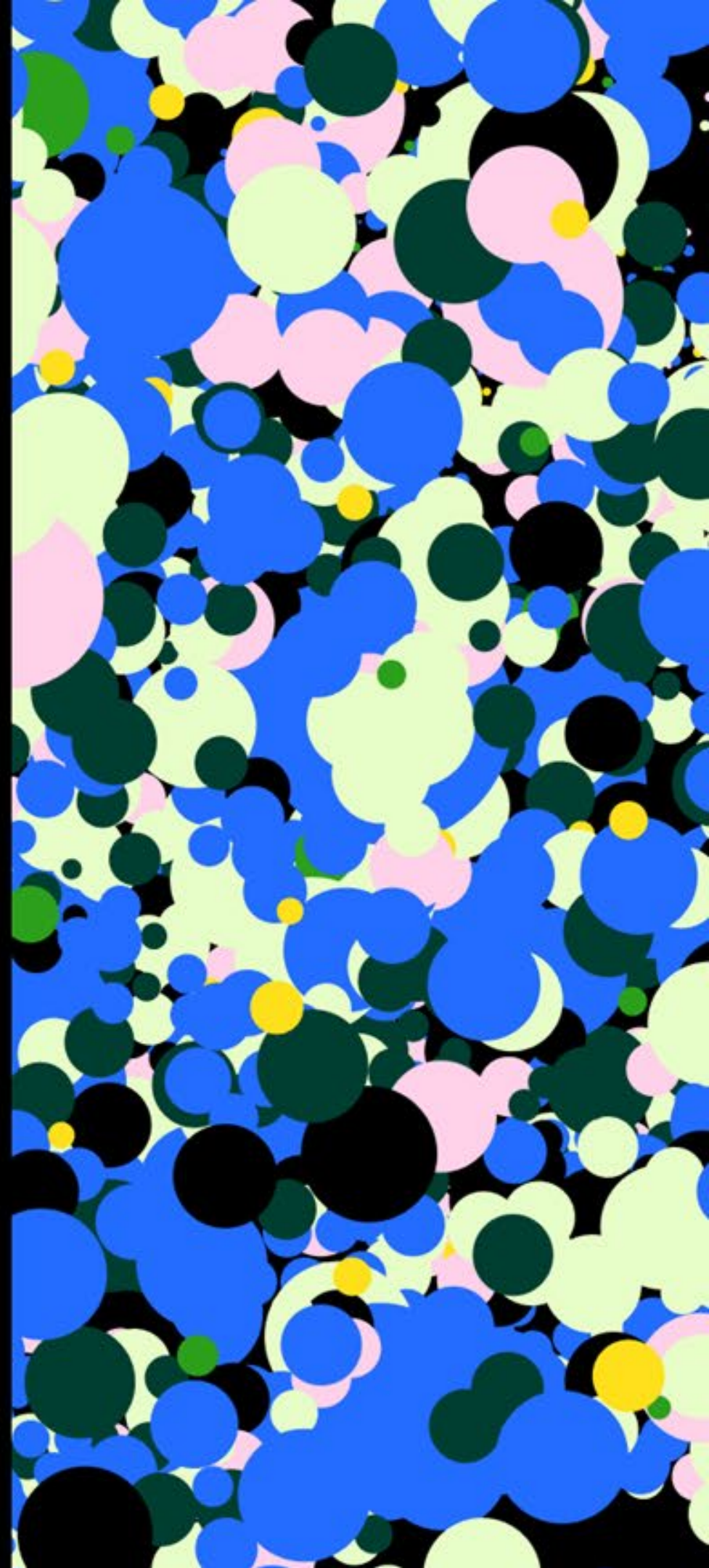
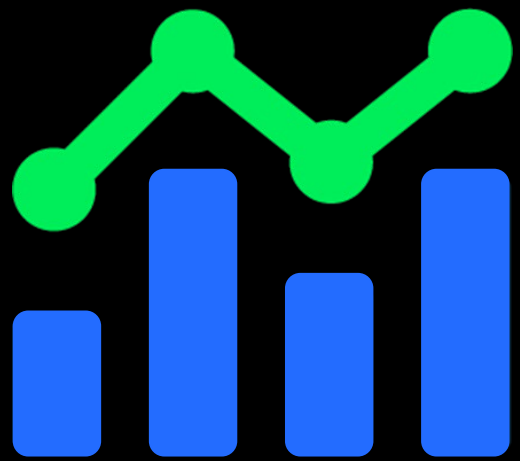
- Full-share grants (no requirement to exercise)
- Taxation happens at vest (unless double trigger)
- Taxation is calculated as:
 - # of shares X fair market value (e.g. 100 shares vest @\$10/share = \$1,000)
- Subject to income and payroll tax withholding just like NQSOs
- Taxation is difficult to predict since stock prices of public companies fluctuate
- Can be “Double Trigger” if granted in a **private** company subject to two vesting restrictions:
 - A service-based requirement (continued employment)
 - A liquidity -event requirement (acquisition or IPO)
 - Often the service requirement is met first and then the employees are waiting on the IPO for the second trigger

Employee Stock Purchase Plan (ESPP)

General principles

- Contributions on an after-tax basis
- Typically purchasing company stock at a 15% discount
- Lookback feature - allows you to purchase at lesser of the price at the beginning of the period or purchase date
- Watch out for lock-up provisions / sale restrictions
- General advice: Buy as much of the stock as you can! It's an automatic 15% discount.

Restricted Stock Tactics



Planning opportunities: 83 ways to leave your taxes

§83(b) and §83(i)

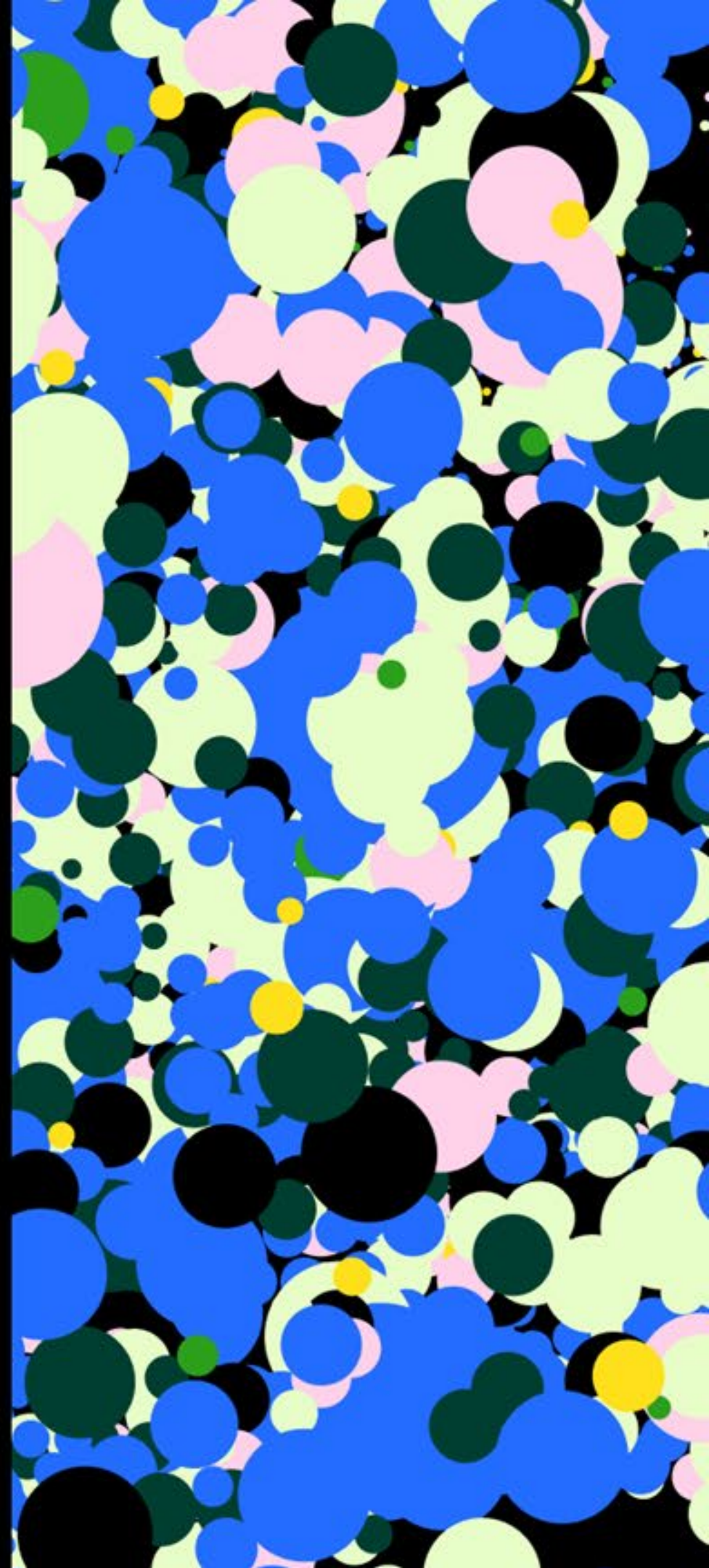
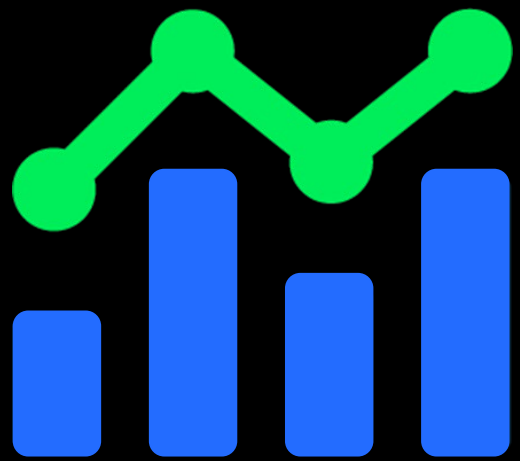
Decide and elect within 30 days of **grant date**

- Restricted stock typically has a vesting schedule (thus the restriction).
- As the restricted stock vests, the value of the vesting stock shows up in your income at ordinary tax rates.
- Filing an 83(b) accelerates all the future income into your income now, which is generally a bad idea.
- Can also accelerate the AMT income of an ISO if the plan allows for it (Rare) - early exercise

Qualified Small Business Stock (QSBS)

- Also known as Section 1202
- To promote investment in young companies, this is a tax benefit that allows investors to exclude 100% of gains up to \$10,000,000 as long as certain provisions are met
- The company had assets of less than \$50m at the time
- Domestic C-Corporation
- Your employer's lawyer and finance team will need to confirm the conditions for QSBS and the date to which shares are eligible
- You must HOLD the shares for 5 years

RSU Cash Flow Tactics



Managing RSUs and withholding

- RSUs are the most common type of equity award - important to know how cash flow and taxation works w/ RSU clients
- RSU vesting schedules come in many varieties:
 - Monthly
 - Quarterly
 - Semi-annually
 - Annually
 - 1-year cliff -> Monthly
- Great way to use 10b5-1 plan to sell at vesting
- BKFi typically advises clients to sell all RSUs as soon as they vest. Only benefit of holding is waiting 1 year for LTCG for a stock that you're probably already concentrated in.

Grant Number	Vest Date	Shares Vesting
Grant 2	2/28/2021	3,480
Grant 2	5/31/2021	3,480
Grant 2	8/31/2021	3,480
Grant 2	11/30/2021	3,480
Grant 2	2/28/2022	3,480
Grant 2	5/31/2022	3,480
Grant 2	8/31/2022	3,480
Grant 2	11/30/2022	3,480
Grant 2	2/28/2023	3,480
Grant 2	5/31/2023	3,480
Grant 2	8/31/2023	3,480
Grant 2	11/30/2023	3,479

10b5-1 Plans

- Available to executives at public companies
- Allows you to contractually commit to stock sales in advance
- The agreement is binding, must be entered into when you do not possess Material Non-Public Information (MNPI)
- Provides unique flexibility:
 - Ability to trade shares outside of a trading window
 - Set limit prices and floors; dream prices
 - Sell RSUs as they vest

Sample 10b5-1 Plan

Example

- Executive a company that went public in 2021 who routinely had access to MNPI (material non-public information)

Strategy

- Wanted to make sure we got liquidity routinely via RSU sales regardless of price
- Had a price floor of \$12/sh to sell the top tranche of shares (unexercised options)
- Was willing to sell all of them anytime if the price hit \$16/sh

*** INFORMATION ON GRID MUST BE TYPED ***

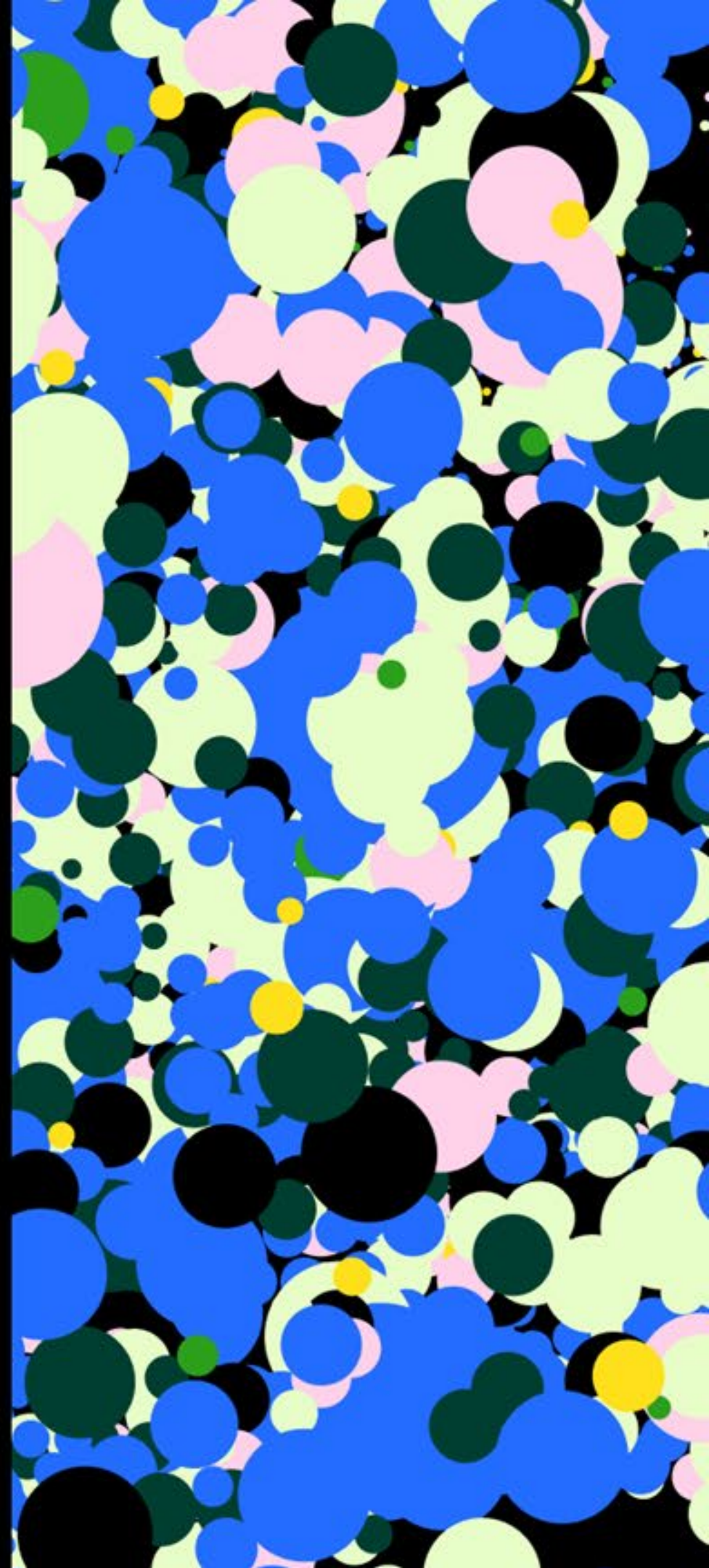
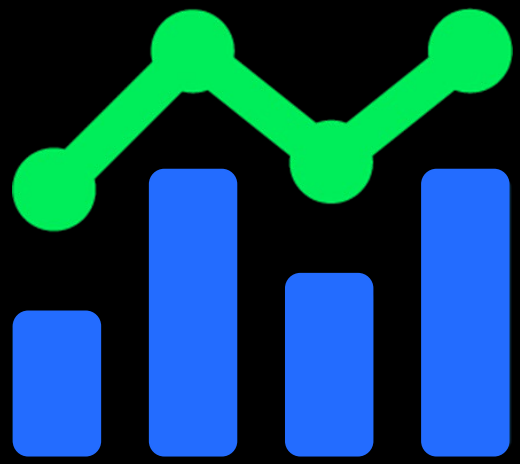
(a) Date of Grant	(b) Grant ID	(c) Strike Price	(d) Option Vest Date	(e) Option Expiration Date	(f) Sale Period(s)		(g) Number of Shares to be Sold	(h) Limit Price
					Start Date	End Date		
Grid #1 – Maximum Number of Shares to Be Sold = 4,220								
			Vested	03/03/2030	03/20/2022	03/03/2023	3,376	\$16.00
			Vested	03/03/2030	03/20/2022	03/03/2023	844	\$12.00
			Vested	03/03/2030	04/15/2022	03/03/2023	844	\$12.00
			Vested	03/03/2030	05/16/2022	03/03/2023	844	\$12.00
			Vested	03/03/2030	06/15/2022	03/03/2023	844	\$12.00
			Vested	03/03/2030	07/15/2022	03/03/2023	844	\$12.00
Grid #2 – Maximum Number of Shares to Be Sold = 3,376								
				08/15/2022	03/03/2030	08/15/2022	03/03/2023	844 \$12.00
				09/15/2022	03/03/2030	09/15/2022	03/03/2023	844 \$12.00
				10/17/2022	03/03/2030	10/17/2022	03/03/2023	844 \$12.00
				11/15/2022	03/03/2030	11/15/2022	03/03/2023	844 \$12.00
Note: Insert additional rows as necessary.								
Grid #2 – Maximum Number of Shares to Be Sold = *TBD								
RSU	04/01/2021		06/01/2022	06/02/2022	03/03/2023		*TBD (100% of net shares)	MKT
RSU	08/31/2021		06/01/2022	06/02/2022	03/03/2023		*TBD (100% of net shares)	MKT
RSU	04/01/2021		09/01/2022	09/02/2022	03/03/2023		*TBD (100% of net shares)	MKT
RSU	08/31/2021		09/01/2022	09/02/2022	03/03/2023		*TBD (100% of net shares)	MKT
RSU	08/31/2021		09/01/2022	09/02/2022	03/03/2023		*TBD (100% of net shares)	MKT
RSU	04/01/2021		12/01/2022	12/02/2022	03/03/2023		*TBD (100% of net shares)	MKT

Managing RSUs and withholding

- Standard withholding on RSUs is **22%** Federal on the **first \$1M** of income (Publication 15) and 37% beyond that
- **How many folks with RSUs do you know in the 22% tax bracket?**
 - If the company offers it, consider electing 30% or 37% withholding on all supplemental income to avoid a surprise liability
 - Clients like surprise receivables and HATE surprise liabilities

TAX RATE	SINGLE	JOINT	HEAD OF HOUSEHOLD
10%	\$0 - \$11,600	\$0 - \$23,200	\$0 - \$16,550
12%	\$11,600 - \$47,150	\$23,201 - \$94,300	\$16,551 - \$63,100
22%	\$47,151 - \$100,525	\$94,301 - \$201,050	\$63,101 - \$100,500
24%	\$100,526 - \$191,950	\$201,051 - \$383,900	\$100,501 - \$191,950
32%	\$191,951 - \$243,725	\$383,901 - \$487,450	\$191,951 - \$243,700
35%	\$243,726 - \$609,350	\$487,451 - \$731,200	\$243,701 - \$609,350
37%	\$609,351 or more	\$731,201 or more	\$578,101 or more

NQSO Cash Flow Tactics and Tax Traps



Taxation of Non-Qualified Options (NQSO)

NQSOs: Taxable ordinary income on (market value - exercise price) at exercise.

- Reminder: Only tax difference from RSUs is you get to choose when you are taxed ;)
- Subject to FICA/Payroll taxation
- BKFi typically advises clients to sell all RSUs as soon as they vest. Only benefit of holding is waiting 1 year for LTCG for a stock that you're probably already concentrated in.
- Timing tip: exercising these in years when you have very low income (e.g. exercise in January before you leave your job for a sabbatical) or in years when you've already reached the Social Security cap (\$168,000 in 2024)

Taxation of Non-Qualified Options (NQSO)

- Show up as W-2 income and generally withheld at supplemental tax rate (22%)
- Income/Bargain Element should be marked Code V in box 12 of the W-2
- Sales of NQSOs will show up on 1099s but often without basis adjustments from previous bullet

1099 + W-2 Traps

- This 1099 shows about \$3.5M in ST Capital gains
- But these are all exercises + sales of NSOs
- The cost basis reported is the strike price
- The bargain element is all included in this client's W-2
- **Entering the 1099 AS IS results in \$1.75M in double taxation**

Short Term – Covered Securities (continued)										
Description (Box 1a)/ CUSIP Number	Quantity	Date Acquired (Box 1b)	Date Sold (Box 1c)	Gross proceeds less commissions (Box 1d)	Cost or other basis (Box 1e)	Wash sale loss disallowed (Box 1g)	Check if loss not allowed based on amount in Box 1d (Box 7)	Federal Income tax withheld (Box 4)	State Name (Box 14)/ State ID No. (Box 15)	State tax withheld (Box 16)
Tech Company	4,000.000000	02/26/21	02/26/21	\$95,994.56	\$18,880.00		☐			
	4,000.000000	03/04/21	03/04/21	\$101,914.53	\$18,880.00		☐			
	4,000.000000	03/04/21	03/04/21	\$99,394.54	\$18,880.00		☐			
	10,000.000000	05/14/21	05/14/21	\$191,977.57	\$47,200.00		☐			
	10,000.000000	05/14/21	05/14/21	\$199,997.53	\$47,200.00		☐			
	10,000.000000	05/18/21	05/18/21	\$209,999.47	\$47,200.00		☐			
	10,000.000000	05/24/21	05/24/21	\$210,007.47	\$47,200.00		☐			
	8,000.000000	05/27/21	05/27/21	\$179,994.13	\$37,760.00		☐			
	10,000.000000	08/13/21	08/13/21	\$250,026.27	\$47,200.00		☐			
	10,000.000000	08/18/21	08/18/21	\$255,008.24	\$47,200.00		☐			
	10,000.000000	08/18/21	08/18/21	\$245,016.80	\$47,200.00		☐			
	4,000.000000	08/23/21	08/23/21	\$99,194.54	\$18,880.00		☐			
	10,000.000000	08/26/21	08/26/21	\$250,120.77	\$47,200.00		☐			
	43,565.000000	11/11/21	11/11/21	\$1,002,607.93	\$205,626.80		☐			
	9,000.000000	12/07/21	12/07/21	\$177,294.14	\$42,480.00		☐			
Total Short Term – Covered Securities				\$4,358,420.01	\$871,146.80					

1099 + W-2 Traps

Part I

Short-Term. Transactions involving capital assets you held 1 year or less are generally short-term (see instructions). For long-term transactions, see page 2.

Note: You may aggregate all short-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS and for which no adjustments or codes are required. Enter the totals directly on Schedule D, line 1a; you aren't required to report these transactions on Form 8949 (see instructions).

You **must** check **Box A, B, or C** below. Check **only one box**. If more than one box applies for your short-term transactions, complete a separate Form 8949, page 1, for each applicable box. If you have more short-term transactions than will fit on this page for one or more of the boxes, complete as many forms with the same box checked as you need.

☒

(A) Short-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS (see **Note** above)

☐

(B) Short-term transactions reported on Form(s) 1099-B showing basis **wasn't** reported to the IRS

☐

(C) Short-term transactions not reported to you on Form 1099-B

1	(a) Description of property (Example: 100 shares XYZ Co.)	(b) Date acquired (Mo., day, yr.)	(c) Date sold or disposed of (Mo., day, yr.)	(d) Proceeds (sales price) (see instructions)	(e) Cost or other basis. See the Note below and see <i>Column (e)</i> in the separate instructions	Adjustment, if any, to gain or loss. If you enter an amount in column (g), enter a code in column (f). See the separate instructions.		(h) Gain or (loss). Subtract column (e) from column (d) and combine the result with column (g)
						(f) Code(s) from instructions	(g) Amount of adjustment	
	Shares of ABC	Various	Various	2,002,364.	623,040.	B	-1379510.	-186.

- When basis is misreported on 1099s, manual adjustments need to be made
- These get reported on the 8949
- Literally catching these adjustments can save clients hundreds of thousands of dollars

Additional resources

- For all things equity comp: <https://www.mystockoptions.com/>
- Books to read:
 - Consider your Options by Kaye Thomas
 - Equity Compensation Strategies: A Guide for Professional Advisors by Kaye Thomas
- Credentials
 - CEPI: <https://www.scu.edu/business/cepi/>
 - ECA: Equity Compensation Associate
 - CEP: Certified Equity Professional
- BKFi Blog: <https://www.brooklynfi.com/blog>



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THE LIQUIDITY EVENT

Equity stream

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Get out of spreadsheets
clear answers for your
platform.

BOOK DEMO

JOIN THE WAITLIST



Option Only

Dashboard

Data Upload

APPS

Clients

Summary

Income

Equity

Plan

Cashflow

Tax

Reports

Companies

Option Only

Trading plan comparison

Total tax

Annual

6 year exit

2 year exit



DEMO (PRDEM) Share Price

\$125.00

OVERVIEW

6 year exit

2 year exit

Number of years

6

2

Legacy percentage

0%

0%

Max AMT

1,000,000

1,000,000

Share price increase

0

0

TOTAL TAX

6 year exit

2 year exit

Long term gains

1,228,113

1,228,113

AMT

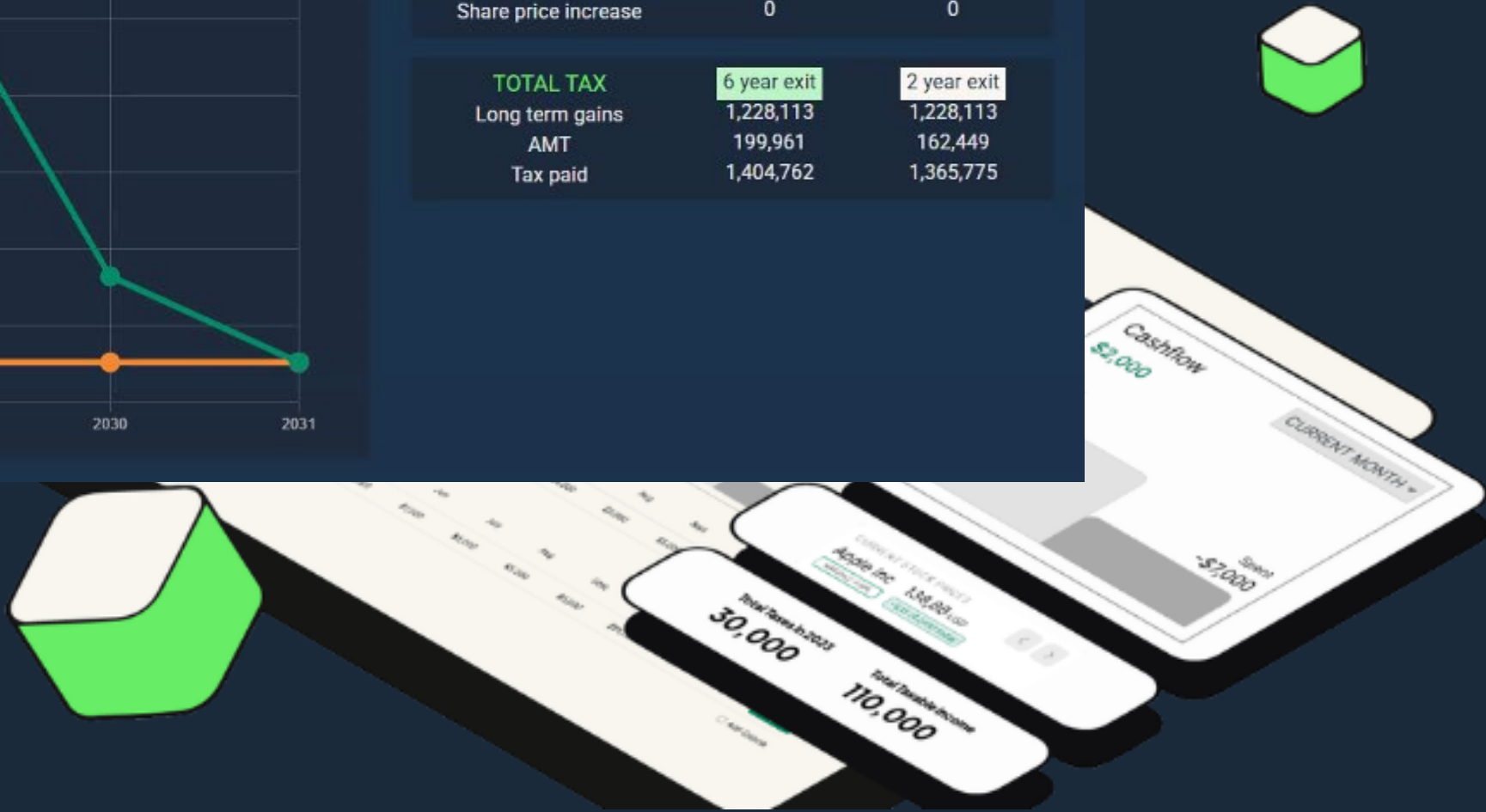
199,961

162,449

Tax paid

1,404,762

1,365,775





Dashboard

Data Upload

APPS

Clients

Summary

Income

Equity

Plan

Cashflow

Tax

Reports

Companies

Option Only

Trading plan comparison

← BACK TO TRADING PLANS

Total tax ⓘ

Annual



DEMO (PRDEM) Share Price

\$125.00

OVERVIEW

	6 year exit	2 year exit
Number of years	6	2
Legacy percentage	0%	0%
Max AMT	1,000,000	1,000,000
Share price increase	0	0

TOTAL TAX

	6 year exit	2 year exit
Long term gains	1,228,113	1,228,113
AMT	199,961	162,449
Tax paid	1,404,762	1,365,775

Questions?

In the mobile app, locate the session record and navigate to the Q&A tab at the top.

Thank you

